

(2007) 4 Supreme Court Cases 795 : 2007 SCC OnLine SC 545

(BEFORE S.B. SINHA AND P.K. BALASUBRAMANYAN, JJ.)

MOHIT BHARGAVA . . Appellant;

Versus

BHARAT BHUSHAN BHARGAVA AND OTHERS . .

Respondents.

Civil Appeals No. 2078 of 2007[±] with No. 2079 of 2007[±], decided
on April 20, 2007

A. Civil Procedure Code, 1908 — Ss. 38, 39(4) (as inserted by Act 22 of 2002) and Or. 21 Rr. 3 & 50 — Execution — Court's territorial jurisdiction — Execution of decree against property situate outside the local limits of jurisdiction of court which passed the decree — Held, it is only the court in whose jurisdiction the property is situate that can execute the decree — S. 39(4) as inserted by Act 22 of 2002 w.e.f. 1-7-2002 makes it clear that it is no longer a matter of discretion for the court which passed the decree either to proceed with the execution of the decree itself or to transfer it for execution to the court within whose jurisdiction the property is situate — In a case where Or. 21 Rr. 3 and 50 have no application, if the decree-holder wants to proceed against a property situate outside the jurisdiction of the court which passed the decree, he has to get the decree transferred to the appropriate court (the court in whose jurisdiction the property is situate) for execution on moving the executing court in that behalf

(Paras 7 to 10)

B. Civil Procedure Code, 1908 — Ss. 38, 39(4) (as inserted by Act 22 of 2002) and Or. 21 R. 48 — Execution of decree against any person — Jurisdiction of court which passed the decree — Held, a decree can be executed by court which passed the decree if authorised by Or. 21 R. 48 or the judgment-debtor is within its jurisdiction if it is a decree for personal obedience by the judgment-debtor

(Para 7)

Salem Advocate Bar Assn. v. Union of India, (2005) 6 SCC 344, *relied on*

C. Civil Procedure Code, 1908 — S. 136 and Or. 21 R. 54 r/w S. 46 — Court approached with suit/seized of suit proceedings — Attachment of property situate outside its territorial jurisdiction — Jurisdiction, mode and manner in which may be ordered — Scope — Distinction from case of execution of decree against property situate outside territorial jurisdiction of court which passed the decree

Pending a suit, the court approached with the suit may have jurisdiction to order

attachment of a property even outside its jurisdiction. In execution, under Order 21 Rule 54 CPC, it may also have jurisdiction to order attachment of the property prohibiting the judgment-debtor from transferring or charging the property in any way when it exercises its jurisdiction over the judgment-debtor though not over the property itself. It could in such a case issue a precept in



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terms of Section 46 CPC and thereupon, the court to which the precept is sent, has to actually attach the property in the manner prescribed. Section 136 CPC provides for an order of attachment in respect of a property outside the jurisdiction of the court and sending the order of attachment to the District Court within whose local limits the property sought to be attached is situate, as provided for therein. But Section 136 clearly excludes execution of decrees from within its purview.

(Para 8)

D. Civil Procedure Code, 1908 — Ss. 38, 39 (as amended by Act 22 of 2002) & Or. 21 R. 35 and Or. 39 R. 1 — Court which passed decree (erroneously) acting as executing court — Power to issue restraint orders in respect of persons or property situate outside its territorial jurisdiction (though said directions not amounting to directing actual execution itself) — Held, court which passed decree certainly has jurisdiction to pass restraint orders to a person from handing over a property in his possession (in this case the suit property) to the judgment-debtor along with the title documents, and keeping the documents in safe custody — Such orders are in the nature of a “freezing order” or a “Mareva injunction” or an order akin to an “Anton Piller order”, orders that can be issued even if the property or the person concerned is outside the jurisdiction of the court — Specific Relief Act, 1963 — Ss. 36 to 38 & 41 — Practice and Procedure — Restraint orders/Freezing orders — Words and Phrases

(Para 10)

[Ed. : See also Gerrit F. Merkel : *Towards Transnational Principles of Provisional and Protective Relief*, (2006) 3 SCC J-9.]

D-M/AJ/36131/C

Advocates who appeared in this case:

Mukul Rohatgi, Senior Advocate (Sushil Kr. Jain, H.D. Thanvi, Sarad Singhania, Puneet Jain, Ms Christi Jain, Sanjay Dwivedi and Ashok Mathur, Advocates, with him) for the Appellant;

Respondents 10 and 11 in person.

Chronological list of cases cited

on page(s)

1. (2005) 6 SCC 344, *Salem Advocate Bar Assn. v. Union of India*

799b-c

The Judgment of the Court was delivered by

P.K. BALASUBRAMANYAN, J.— Leave granted.

2. While the judgment-debtor challenges the order of the High Court in a petition filed by him under Article 227 of the Constitution of India to the extent it rejects his prayers, the decree-holder has also challenged the same order to the extent it upheld an objection of the judgment-debtor. The decree-holder and the grandfather of the judgment-debtor among others, were partners in a firm. A notice of dissolution was issued by some of the partners to the grandfather of the judgment-debtor. Ultimately, the decree-holder filed a suit in the District Court of Gwalior for dissolution of the partnership and for rendition of accounts. On 27-4-1981 the court passed a preliminary decree declaring that the partnership firm stood dissolved with effect from 20-6-1978 and directing that accounts be taken to settle mutual rights and liabilities. A Receiver who had been appointed pending the suit was directed to continue.



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3. The father of the judgment-debtor predeceased the grandfather of the judgment-debtor. It is said that on 26-3-1985, the grandfather executed a will bequeathing the properties to his grandson, the judgment-debtor. At the relevant time, the judgment-debtor, the legatee, was a minor. Provisions were made regarding the management of the properties during the minority of the judgment-debtor. On 19-11-1985, the grandfather of the judgment-debtor died. The final decree proceedings continued and the Commissioner submitted his report after scrutinising the accounts on 27-8-2002. On 29-11-2002, the District Court, Gwalior, passed a final decree in the suit for dissolution. Under the final decree, the judgment-debtor was liable to pay to the plaintiff a sum of Rs 6,66,292.50 and a total sum of Rs 10,83,757 to other partners and a sum of Rs 5000 as his share of fees to the Commissioner. According to the judgment-debtor, he has filed an appeal against this final decree, but due to objections raised by the Registry of the High Court regarding the court fee payable, further orders are awaited in the appeal on that question.

4. On 2-1-2003, the decree-holder, the plaintiff in the suit, filed an

execution petition in the District Court of Gwalior for execution of the decree. In other words, the execution petition was filed in the court which passed the decree. Meanwhile, it is said that the will executed by the grandfather designating the judgment-debtor as the legatee was probated. On 19-3-2003, the decree-holder moved the executing court for an injunction restraining the person holding the building said to have been bequeathed to the judgment-debtor by his grandfather, from handing over possession of the same to the judgment-debtor and from handing over the documents of title to him. He also sought a direction restraining the bank holding an account of the estate from permitting the judgment-debtor to operate the accounts. The executing court passed an order on 19-3-2003 directing the occupant of the building as well as the bank not to transfer to the judgment-debtor the properties enumerated in the list submitted by the decree-holder. The person holding the building moved the executing court praying that he be relieved from the responsibility of managing the property. He also produced certain documents in the executing court with a prayer that he be relieved of his obligations. On 7-7-2003, the executing court, after taking notice of the documents produced by the occupant of the building concerned, directed that the documents be kept in safe custody of the court. On 26-7-2003, an application was moved by the decree-holder submitting that he had received an offer for the purchase of the building in question, which was situate at 14, Bakshi Colony, Indore and praying that the said property may be sold by way of auction and the amount received be apportioned among the decree-holder and other partners. Though the judgment-debtor had not then and there challenged the orders dated 19-3-2003 and 7-7-2003, he now raised an objection in the executing court that the executing court lacked territorial jurisdiction to order the sale of the property situate in Indore lying outside its



territorial jurisdiction. The application was made under Section 39 read with Order 21 Rule 3 of the Code of Civil Procedure (for short "the Code"). The judgment-debtor also filed an independent objection to the prayer of the decree-holder for sale of the property at 14, Bakshi Colony, Indore. On 6-4-2004 the executing court rejected the objections from the judgment-debtor. It held that it had territorial jurisdiction to proceed with the execution. It also passed an order directing that the house at 14, Bakshi Colony, Indore be sold by public auction after due publicity. Feeling aggrieved by the last order and belatedly feeling aggrieved by the earlier orders dated 19-3-2003 and 7

-7-2003, the judgment-debtor approached the High Court originally by way of a revision under Section 115 of the Code, but on its being held that a revision is not maintainable, later by way of a motion under Article 227 of the Constitution of India challenging all the orders. The High Court held that the executing court, the District Court at Gwalior, lacked territorial jurisdiction to continue the execution especially in respect of properties outside its jurisdiction or to order sale of Building No. 14, Bakshi Colony, Indore and consequently set aside the order dated 6-4-2004 and transferred the execution to the court concerned at Indore for proceeding with the execution. But the High Court repelled the challenge to the earlier orders of restraint dated 19-3-2003 and 7-7-2003 passed by the executing court at Gwalior. Feeling aggrieved by the non-interference with the orders dated 19-3-2003 and 7-7-2003, the judgment-debtor has approached this Court. Feeling aggrieved by the upholding of the objection of the judgment-debtor to jurisdiction, the decree-holder has come up to this Court.

5. We shall first deal with the objection of the decree-holder to the transfer of the execution to the court at Indore having jurisdiction over the property sought to be brought to sale. The decree-holder who appeared in person as also the counsel who was appearing on his behalf in the petition for Special Leave to Appeal (Civil) No. 7742 of 2006 argued that Section 39(4) of the Code as amended in 2002, was not attracted since this was not a case to which Section 39(1) was applicable. It was contended that the court which passed the decree had the jurisdiction to execute the decree and the decree-holder had approached that court for execution of the decree. There was no defect in jurisdiction in seeking to enforce the decree through the court which passed the decree. It was submitted that the decree was being executed by the present court at Gwalior only because of the abolition of the court before which the execution petition was originally filed and the High Court misunderstood the factual position while coming to the conclusion that Section 39(4) was attracted. On behalf of the judgment-debtor it was pointed out that though normally it is correct to say that the court which passed the decree has the jurisdiction to execute the decree, the moment the decree-holder sought to execute such a decree against property lying outside the jurisdiction of that court, Section 39(4) of the Code was attracted and the court was obliged to transfer the decree for execution to the proper court.



Section 42 of the Code was referred to. Counsel further contended that

earlier, in terms of Section 39(1) of the Code, a discretion was vested in the court, either to proceed with the execution of the decree or to transfer the same to another court as understood by some of the decisions. There was a conflict of judicial opinion. The legislature had therefore stepped in with an amendment in the year 2002 curtailing that discretion and introducing sub-section (4) in Section 39 of the Code making it clear that any attempt of the court to proceed with the execution against a property outside the jurisdiction of that court, would be one without authority and this legislative intent had been properly understood by the High Court when it transferred the decree to another court. Both sides brought to our notice *Salem Advocate Bar Assn. v. Union of India*¹ with particular reference to paras 22 to 24 dealing with Section 39 of the Code.

6. In that decision, clarifying the fields of operation of Order 21 Rule 3, Order 21 Rule 48 and Section 39 of the Code, this Court stated: (SCC p. 365, para 24)

"24. Section 39 does not authorise the court to execute the decree outside its jurisdiction but it does not dilute the other provisions giving such power on compliance with the conditions stipulated in those provisions. Thus, the provisions, such as, Order 21 Rule 3 or Order 21 Rule 48 which provide differently, would not be affected by Section 39(4) of the Code."

7. There cannot be any dispute over the proposition that the court which passed the decree is entitled to execute the decree. This is clear from Section 38 of the Code which provides that a decree may be executed either by the court which passed it or by the court to which it is sent for execution. Section 42 of the Code indicates that the transferee court to which the decree is transferred for execution will have the same powers in executing that decree as if it had been passed by itself. A decree could be executed by the court which passed the decree so long as it is confined to the assets within its own jurisdiction or as authorised by Order 21 Rule 3 or Order 21 Rule 48 of the Code or the judgment-debtor is within its jurisdiction, if it is a decree for personal obedience by the judgment-debtor. But when the property sought to be proceeded against, is outside the jurisdiction of the court which passed the decree acting as the executing court, there was a conflict of views earlier, some courts taking the view that the court which passed the decree and which is approached for execution cannot proceed with execution but could only transmit the decree to the court having jurisdiction over the property and some other courts taking the view that it is a matter of discretion for the executing court and it could either proceed with the execution or send the decree for execution to another court. But this conflict was set at rest by Amendment Act 22 of

2002 with effect from 1-7-2002, by adopting the



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position that if the execution is sought to be proceeded against any person or property outside the local limits of the jurisdiction of the executing court, nothing in Section 39 of the Code shall be deemed to authorise the court to proceed with the execution. In the light of this, it may not be possible to accept the contention that it is a matter of discretion for the court either to proceed with the execution of the decree or to transfer it for execution to the court within the jurisdiction of which the property is situate.

8. Pending a suit, the court approached with the suit, may have jurisdiction to order attachment of a property even outside its jurisdiction. In execution, under Order 21 Rule 54 of the Code, it may also have jurisdiction to order attachment of the property prohibiting the judgment-debtor from transferring or charging the property in any way when it exercises its jurisdiction over the judgment-debtor though not over the property itself. It could in such a case issue a precept in terms of Section 46 of the Code and thereupon, the court to which the precept is sent, has to actually attach the property in the manner prescribed. Section 136 of the Code provides for an order of attachment in respect of a property outside the jurisdiction of the court and sending the order of attachment to the District Court within whose local limits the property sought to be attached is situate, as provided for therein. But Section 136 clearly excludes execution of decrees from within its purview. An execution against immovable property lying outside the jurisdiction of the executing court is possible in terms of Order 21 Rule 3 of the Code which governs a case where the particular item of immovable property, forms one estate or tenure situate within the local limits of jurisdiction of two or more courts, and one of those courts is approached for execution of the decree against that property. In a case where Order 21 Rule 3 has no application, the position seems to be that if a decree-holder wants to proceed against a property situate outside the jurisdiction of the court which passed the decree, he has to get the decree transferred to the appropriate court for execution on moving the executing court in that behalf. Whatever doubts there might have been earlier on this question, must be taken to have been resolved by the introduction of sub-section (4) of Section 39 of the Code which is a mandate to the executing court to desist from proceeding against a property situate outside its jurisdiction, unless it be a case coming under Order 21 Rule 3 of the Code.

9. In the case on hand, the property that is sought to be sold in execution of the decree for dissolution is not a property of the partnership. It is not a partnership asset held by the Gwalior court or within the jurisdiction of the court at Gwalior. Order 21 Rule 50 of the Code is, therefore, not attracted. What is sought to be done by the decree-holder is to seek the sale of a property belonging to the judgment-debtor so as to realise the fruits of his decree. Since that property lies outside the jurisdiction of the court at Gwalior, the executing court was not correct in overruling the objection of the judgment-debtor regarding the absence of jurisdiction in the Gwalior



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court to order sale of the property outside its jurisdiction. The High Court was, therefore, justified in interfering with that order and in transferring the decree to the court having jurisdiction over the property that is sought to be proceeded against by the decree-holder. We, therefore, see no infirmity in that part of the order of the High Court sought to be challenged before us by the decree-holder.

10. Now coming to the challenge of the judgment-debtor to the refusal of the High Court to interfere with the orders dated 19-3-2003 and 7-7-2003, we find no merit in it. First of all, the judgment-debtor had not challenged those orders at the appropriate time and had allowed them to operate until he chose to challenge them while challenging the rejection of his objection to jurisdiction raised later. Of course, his argument is that once it is found that the court has no jurisdiction to proceed, the orders passed by it earlier should also automatically fall to the ground. We cannot agree. By order dated 19-3-2003 what the executing court did was, to direct a third party, who had subsequently acceded to the jurisdiction of the executing court, not to hand over possession of the building in question and the documents concerned, to the judgment-debtor. It is seen that the third person submitted to the jurisdiction of the court and surrendered the documents in his possession to the executing court and prayed to that court that he be relieved from the responsibility of managing the property in the circumstances stated by him in his application. It was in that context that the executing court passed another order dated 7-7-2003 that the documents produced by the third party be kept in safe custody of the court. These two orders are certainly within the jurisdiction of the court which passed the decree since they are only orders of restraint being issued to a person from handing over a property in his possession to the judgment-debtor along with the

documents concerned and keeping the documents in safe custody. They are in the nature of a "freezing order" or a "Mareva injunction⁺⁺" and an order akin to an Anton Piller order, orders that can be issued even if the property or the person concerned is outside the jurisdiction of the court[§]. In the circumstances, especially since the judgment-debtor never bothered to question those orders as and when they were passed, we are of the view that the High Court was not in error in refusing to interfere with those orders. But since the High Court has quashed the order dated 6-4-2004 and directed the transfer of the decree to the court at Indore, the direction dated 11-5-2004 by the court at Gwalior for sale of the house at 14, Bakshi Colony, Indore by public auction must necessarily fall to the ground. Only to that extent, if at all, a clarification is needed. It will be



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open to the decree-holder, now that the decree has been transmitted to the court at Indore, to move an application in the executing court at Indore for sale of the property in question.

11. In the result, the challenge by both sides to the order of the High Court is rejected except to the extent of the clarification as above regarding the order dated 17-12-2000.

12. The appeal is, therefore, dismissed subject to the above clarification. However, there will be no order as to costs.

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[†] Arising out of SLP (C) No. 3756 of 2006. From the Judgment and Order dated 3-1-2006 of the High Court of Madhya Pradesh, Jabalpur Bench at Gwalior in Writ Petition No. 3627 of 2005

[‡] Arising out of SLP (C) No. 7742 of 2006

¹ (2005) 6 SCC 344

⁺⁺ **Ed.:** *Mareva Compania Naviera SA v. International Bulk Carriers SA*, (1975) 2 Lloyd's Rep 509 (CA)

[§] **Ed.:** See generally Gerrit F. Merkel: *Towards Transnational Principles of Provisional and Protective Relief*, (2006) 3 SCC J-9 for a detailed discussion of the working of the English freezing injunction/Mareva injunctions/Anton Piller orders and the latest developments in the law in this context though discussed in a Transnational context.

